

Boston's Empty Lab Towers Show Speculative Capital Has a New Timeline

10 World Trade's vacancy reveals patient lenders, not market confidence, are carrying the cycle.

The most important number in Boston's lab market is not 32.7 percent vacancy. It is \$540 million. That is the construction financing PGIM Real Estate and Wheelock Street Capital provided for 10 World Trade, a 570,000-square-foot spec lab tower that delivered in the Seaport without a single tenant.

The building opened into a market where lab vacancy has climbed from roughly 1 percent in 2022 to nearly a third of all space today. The developer, Boston Global Investors, began construction when demand seemed inexhaustible. It finished into a market that has no use for the space at the rents the capital stack requires. The transaction is not a story about overbuilding, though that is part of it.

It is a story about what happens when speculative capital meets a demand reset and the lenders decide to wait rather than force a resolution. PGIM and Wheelock did not lend into this project expecting immediate lease-up.

They underwrote a thesis that Boston's life sciences cluster would absorb the space over time, and that the building's design-curved glass, a 17th-floor running track, a \$10 million smart glass system-would let it compete at the top of the market once demand returned. That thesis is now being tested by a vacancy rate that shows no sign of rapid improvement.

Biotech funding has begun to recover, and asking rents have fallen from their peaks, but improved market sentiment does not translate into signed leases on a 570,000-square-foot timeline. The lenders have remained patient, according to John Hynes IV, a vice president at BGI. That patience is the real market signal. It tells us that the capital behind this building is not under immediate distress.

It also tells us that the lenders are not marking the asset to market. The loan is not trading. The building is not being forced into a sale. The capital stack is being held in place by the expectation that time, not price, will solve the vacancy problem. This is a rational strategy only if the lenders have the balance sheet to carry a non-performing or slowly-leasing asset through a multi-year recovery.

PGIM, as a large institutional asset manager, can do that. Wheelock, a real estate private equity firm with a long-dated fund, can do that. The question is whether the patience is structural or tactical. If demand returns within two years, the building leases up, and the loan performs, the strategy looks prescient.

If the vacancy persists, the lenders will eventually face a choice between extending further or taking a loss on a building that was designed for a market that no longer exists at the original rent basis. The Seaport is not a one-building problem. 601 Congress Street sits at nearly 500,000 square feet empty. 2 Harbor has 430,000 square feet vacant. 19 Fid Kennedy Avenue adds another 250,000 square feet.

The market has a concentrated supply overhang in a submarket that was built for a demand wave that crested before the buildings were finished. The winners in this environment will be tenants, who can negotiate rent concessions and tenant improvement packages that were unimaginable in 2022. The exposed parties are the developers and lenders who committed capital to a demand curve that shifted before their projects could capture it.

For owners of existing lab space in Boston, the dynamic is mixed. The vacancy overhang compresses rents and lengthens lease-up periods, but it also clears the path for the next cycle. Once the spec buildings absorb, the market will have a modern inventory that can compete for the next generation of biotech tenants. The question is how long the absorption takes and who has the capital to wait.

For lenders watching similar situations in other lab markets-San Francisco, San Diego, the Research Triangle-the Boston story is a template. Speculative construction financed at peak demand creates a capital stack that can survive only if the lender is willing to trade current performance for future recovery. That trade works when the lender has the scale and the fund structure to wait. It fails when the lender faces its own liquidity constraints.

The market is not rewarding the building. It is rewarding the capital that can afford to wait for the building to become relevant again.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co